

By **Satish Reddy**

internationally. We moved up the value chain in complexity from simple to complex molecules with higher entry barriers, cutting-edge technology platforms, devices, new chemical entities, biosimilars and biologics.

The Indian pharma industry is known as the 'pharmacy of the world' thanks to its manufacturing prowess, and stands for affordability, access, agility and quality. The growth story that started in the mid-20th century led to a powerful global leadership built in less than a single lifetime. This growth story has been a quiet one, still largely known to and discussed only among pharma and related circles. But it was the world-class strengths of this home-grown sector that stood us in good stead when Covid-19 hit the world. It brought India's leadership in pharmaceuticals manufacturing to show globally.

But if Indian pharma truly aspires to grow from its approximately $50 billion (Rs 4.2 lakh crore, at the current exchange rate) worth today to around $130 billion (Rs 10.9 lakh crore) by 2030, and perhaps $400 billion (Rs 33.6 lakh crore) by 2047, the key would be innovation. Our industry has the ability to grow bigger not just in size and reach, but also grow deeper in terms of capability, complexity and innovation.

Becoming a discovery innovation hub: International trends show that research and development (R&D) and innovation are highly diffused, as innovator pharma companies increasingly source their portfolio from external partners. Interestingly, the share of the top 10 pharma companies in the global biopharma pipeline decreased from 13.4 per cent in 2011 to just 4.1 per cent in 2023. It is platform biotech companies that are now producing new drugs at scale. Could there be potential for India to become a discovery innovation hub? We recently organised a round-table conference with eminent names from government research institutes, academia and industry on 'Emerging Frameworks in Innovation' that resulted in a white paper on the same topic. There was consensus among all participants that such an innovation agenda starts with long-term vision and investment in innovative and science-driven R&D.

Discovery-based innovation involves risk. It entails the cost of technology, new capabilities, long gestation periods and a very high cost of failure. Such risk-taking can happen only within an enabling ecosystem. And this ecosystem will rest on the pillars of funding, enabling regulatory landscape, support for clinical trials, collaboration (government-industry-academia), and capability (talent, skilling). Funding will be one of the single biggest drivers of innovative R&D. Here, along with the pharma industry, there is an important role for other stakeholders—the government, regulators, academia, start-up and tech entrepreneurs, private funders, etc.

Innovation is more a mindset; it can come in many forms, including innovation for better access, new categories, new ways of doing business, deploying artificial intelligence and other technologies as enablers, and more. For example, in entering into a joint venture with Nestlé India, we are trying an innovative combined approach to bring health science nutraceuticals to consumers in India. Voluntary licences granted to Indian pharma companies during the Covid-19 pandemic are an example of 'open innovation' to ensure worldwide access to treatment solutions.

Building trust: I look forward to the future even as we ensure current healthcare needs are met. Patients around the world have come to trust and rely on Indian pharma, and we have a humbling responsibility towards them. As we plan the next phase of healthcare, we remain conscious of our status as a lifesaving industry. Patient safety and quality will always be our starting points. Alongside this, it is our responsibility to ensure our growth is environmentally sustainable, socially impactful and in keeping with the highest governance standards.

For Indian pharma, therefore, the future roadmap promises to centre on R&D, innovation, sustainability, upskilling and reskilling in its journey ahead from 'Make in India' to 'Discover and Make in India for the World'—from being a cost-based manufacturing powerhouse to becoming a value-based innovation powerhouse. ■

The author is Chairman, Dr. Reddy's Laboratories Ltd

THE GIANT STEPS

- **The Indian pharma industry has the ability to grow bigger not just in size and reach, but also grow deeper in terms of capability, complexity and innovation**
- **Innovation can come in many forms, including innovation for better access, new categories, new ways of doing business, deploying AI and other technologies as enablers, and more**
- **Alongside patient safety and quality, the onus is on us to ensure our growth is environmentally sustainable**